

THE LEADERBOARD				
Performance of top five ETFs (by AUM)				
Gold Funds	1-year Return (%)	3-year CAGR (%)	Expense Ratio (%)	Net Assets (₹ Cr)
Nippon India ETF Gold BeES	33.07	17.67	0.82	18,780
HDFC Gold ETF	32.94	17.89	0.59	8,539
ICICI Prudential Gold ETF	33.36	17.88	0.50	7,081
SBI Gold ETF	33.17	17.69	0.73	7,036
Kotak Gold ETF	33.25	17.83	0.55	6,912
NOTE DATA AS OF MARCH 21, 2025		SOURCE VALUE RESEARCH		

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gold and even gold companies. They offer a way for investors to gain exposure to gold prices without the need for physical storage or security concerns.

The numbers speak for themselves. According to the Association of Mutual Funds in India (AMFI), gold ETFs attracted investments worth ₹14,929 crore in the first 11 months of FY25 until February, more than double the ₹5,248 crore in FY24. The total assets under management of gold ETFs stood at ₹55,677 crore on February 28, 2025.

Investors seeking stability amid volatility in equity markets and a hedge against economic uncertainty are turning to gold ETFs as a convenient and effective way to gain exposure to the precious metal, say experts. “They offer liquidity, allowing easy buying and selling without the need to store or insure physical gold,” says Raghav Iyengar, Chief Executive Officer of wealth management firm 360 ONE Asset. “ETFs have lower costs related to storage and transactions, making them a cost-effective option compared to owning physical gold,” says Iyengar.

Investors, central banks, and financial institutions prefer gold as an asset class because it is one of the most liquid assets, says Vikram Dhawan, Head of Commodities and Fund Manager at Nippon India Mutual Fund India. Gold ETFs are far superior to other investment

vehicles and sovereign gold bonds because they are fully backed by physical gold bars of high quality that conform to global standards, says Dhawan.

Their ease of accumulation, safety, and convenience make them attractive. Physical gold backing the ETFs are stored in high-security vaults. Gold ETF units are traded on stock exchanges, offering liquidity and transparency. The ETFs are regulated by the Securities and Exchange Board of India, assuring investors of protection.

ALTERNATIVES TO ETFs

To be sure, investors also have other ways of taking exposure to gold: for instance, they can buy digital gold on online apps and have gold equivalent to the money spent stored in digital accounts by the service provider.

And then there are gold funds, or gold fund of funds (FoFs), MFs that invest in gold ETF units; they offer systematic investment plans as well. An investor can redeem or sell holdings any time, but these are not traded on exchanges. An investor, though, has to pay 3% goods and services tax on digital gold purchases. The sales are subject to capital gains taxes.

While both gold funds and gold FoFs offer exposure to gold, the former invest directly in gold ETFs and the latter in a portfolio of gold ETFs.

In a nutshell, gold ETFs provide direct exposure to